

addressing commenters' concerns regarding the ability of exchanges and brokers to pass back the actual fee or report on each transaction.

If market participants pass through in their entirety the exchange fees/rebates to their customers, an ancillary benefit of the new rule will be that the potential inducement to broker-dealers to route orders based on garnering the highest rebate/paying the lowest fee will be reduced since a broker-dealer would no longer retain for itself the transaction pricing benefit from its routing decision. The new rule also will facilitate a customer's ability to obtain more timely information about what exchange transaction pricing the broker-dealer receives, which may increase accountability of the broker-dealer to the customer in ways that could lead to better order execution and more transparency regarding the fees/rebates applicable to a particular order.

Other commenters voiced support for the Commission's objectives in proposing Rule 610(d), but suggested certain modifications. One commenter stated that it "did not object in principle to . . . requir[ing] exchanges to set volume-based access fees and rebates as of the time of execution" provided other market centers would be held to "the same standards of transparency."⁶⁹⁹ As discussed in the Proposing Release, exchange fees and the fees of non-exchange trading centers are treated differently under the federal securities laws.⁷⁰⁰ Specifically, non-exchange fees are not subject to the requirements applicable to exchange fees under sections

⁶⁹⁹ Nasdaq Letter I at 2, 31-32.

⁷⁰⁰ See Proposing Release, supra note 11, at 80287. If an ATS or OTC market maker displayed a protected quotation, its fees would be subject to the access fee caps under rule 610(c). However, exchange fees and the fees of non-exchange trading centers are treated very differently under the federal securities laws. For example, one of the distinguishing features of registered national securities exchanges is that—unlike non-exchange trading centers—their fees are subject to the principles-based standards set forth in the Exchange Act, as well as the rule filing requirements thereunder.

6(b) and 19(b) of the Exchange Act⁷⁰¹ and rule 19b-4 thereunder.⁷⁰² Exchange fees are subject to the requirements of the Exchange Act and the rules thereunder, which requires, among other things, that every exchange post and maintain a current and complete version of the entirety of each and every fee, due, and charge assessed by an exchange,⁷⁰³ and that such exchange rules applicable to fees must provide for the equitable allocation of reasonable dues, fees, and other charges among its members and issuers and other persons using its facilities and not be designed to permit unfair discrimination between customers, issuers, brokers or dealers.⁷⁰⁴ Rule 610(d) is consistent with that statutory framework as it provides members and their customers with more certainty and transparency at the time of trade when exchange transaction pricing may be relevant to, and impactful on, the broker-dealer's order routing decision. New Rule 610(d) is narrowly tailored to improve certainty and transparency regarding exchange fees and rebates within the current regulatory framework.

One commenter stated that the proposal might make it more difficult for smaller broker-dealers to compete against established firms because “participation in the exchanges’ growth programs” might become more expensive in the initial month of participation and “limit exchanges’ ability to incent market makers and other participants to quote at the NBBO and to do so in a large number of securities, including thinly-traded securities.”⁷⁰⁵ The commenter did not provide detail as to how these impacts would arise, but requested the Commission to “exempt

⁷⁰¹ 15 U.S.C. 78(f)(b) and (s)(b).

⁷⁰² 17 C.F.R. 240.19b-4.

⁷⁰³ 17 C.F.R. 240.19b-4(m)(1).

⁷⁰⁴ 15 U.S.C. 78f(b)(4) and (5). See also Proposing Release, supra note 11, at 80287.

⁷⁰⁵ Nasdaq Letter I at 33.

growth programs and special pricing programs that reward market makers and other participants for quoting at the NBBO and providing market quality” from the requirements of Rule 610(d).⁷⁰⁶

Finally, some commenters did not support proposed Rule 610(d) because they stated it would negatively impact the ability to incentivize liquidity provision, “disrupt[] existing economic incentives without justification,”⁷⁰⁷ add “an unnecessary layer of complexity,”⁷⁰⁸ and inappropriately “wade into the business of telling private companies how to charge their customers.”⁷⁰⁹ One commenter stated that “existing fee constructs such as volume-based pricing tiers are important tools that allow exchanges to compete with one another and with non-exchanges.”⁷¹⁰ This commenter further stated that volume-based tiers are entirely consistent with the Exchange Act and vital tools exchanges use to “incentivize greater participation and improve liquidity and market quality.”⁷¹¹ Finally, one commenter stated that the Commission “include[d] no data [] showing this change would cure any harm, nor does it claim any anticipated benefits that might flow from this change.”⁷¹²

⁷⁰⁶ Id. at 33.

⁷⁰⁷ Cboe Letter II at 9-10 (stating that removing incentives provided by exchange rebate tiers would drive liquidity off exchange and negatively impact exchange liquidity provision). See also Data Boiler Letter I at 28-29 (stating that determinable requirement will lead to increased costs that will be passed along to customers as higher commissions or reduced services and could lead to higher barriers to entry because the requirement may cause a “direct hit to broker-dealers’ bottom line” which will force them to “find alternative ways to squeeze, exploit, or rent seek to cover their losses” and urging adoption of “Copyright Licensing mechanism” instead.).

⁷⁰⁸ Virtu Letter II at 9-10 (stating the “effort required to understand the volume fee system, forecast volume fees for an upcoming period, and confirm that fees are indeed being calculated appropriately will especially disadvantage smaller brokers, who typically have less resources . . . for needless work such as this.”).

⁷⁰⁹ Virtu Letter II at 9.

⁷¹⁰ Cboe Letter III at 2.

⁷¹¹ Cboe Letter III at 6-7.

⁷¹² Virtu Letter III at 9-10.

The new rule does not prohibit exchange liquidity provision incentives nor add complexity as suggested by some commenters. It instead shifts the time of calculating fees or rebates so that investors and other market participants are informed, when placing an order, of the amount of the fee or rebate that will be assessed. Rule 610(d) does not alter an exchange's ability to offer incentive programs based on volume tiers or any another metric; rather it will provide prospective certainty regarding what fee/rebate the market participant will incur/earn by achieving the requisite benchmark. Therefore, exceptions for liquidity provision incentives are not appropriate or necessary. Further, Rule 610(d) does not require exchange fees, rebates or other remuneration to be based on activity from a specific measurement period provided the metric used can be achieved prior to the time of execution, nor does it impose any obligations or additional costs on market participants to perform any new calculations, make new projections or forecasts, or undertake any new responsibilities. The Commission is not requiring market participants to undertake any obligations regarding the calculation of the applicable fee/rebate. Instead, Rule 610(d) will facilitate a market participant's ability to know the amount of the fee/rebate based on historical (rather than future) volume, so that it can understand how a volume-based fee/rebate will apply at the time of execution.⁷¹³ Rule 610(d) will allow market participants to calculate the amount of the fee/rebate using data available at the time of execution rather than have to forecast or estimate the cost of their transaction. As discussed below, this

⁷¹³ Implicit in the use of historical rather than future volume is that market participants will know the amount of the fee/rebate that will apply at the time of the execution. As discussed above, exchange fees are subject to the requirements of the Exchange Act and the rules thereunder, which require, among other things, that every exchange post and maintain a current and complete version of the entirety of each and every fee, due, and charge assessed by an exchange. Because information necessary to calculate the amount of the fee or rebate will be knowable at the time of execution, Rule 610(d) will provide market participants with the ability to determine the fee or rebate due at the time of execution.

certainty and transparency regarding the fee and rebate that will apply to a particular transaction will benefit market participants and improve market quality.⁷¹⁴

Further, one commenter requested the Commission withdraw proposed Rule 610(d) in light of its subsequent proposed rule addressing volume-based transaction pricing because the proposals are “inextricably linked” and “so contradictory and indeterminate that the public has not had a reasonable opportunity to comment on what the Commission is actually proposing.”⁷¹⁵

The Commission disagrees. The Fee Tiers Proposal remains a proposal. As explained throughout this section, the increased certainty and transparency Rule 610(d) will require will provide benefits to investors and other market participants on its own. Further, the two proposals are not contradictory because Rule 610(d) applies to all exchange fees and rebates not just those that are volume-based, whereas the Fee Tiers Proposal specifically concerns volume-based pricing and agency-related orders as well as a disclosure requirement that would be fully compatible with Rule 610(d). Accordingly, both proposals are compatible in their different scopes, objectives, and application and so are not in conflict. In addition, Rule 610(d) is not indeterminate but rather straightforward; the public has had the opportunity to comment and many have, in fact, so commented.

Another commenter stated the Commission should revise proposed Rule 610(d) to require fees and rebates to be known “*before* the time of execution” and require “all affected trading venues to publish their fees in machine-readable format” to allow market participants to

⁷¹⁴ See infra section VII.D.3.

⁷¹⁵ Citadel Letter II at 6 (stating that comments on Rule 610(d) were provided “on the basis that volume-based fee tiers *were explicitly not being prohibited*” and requesting the Commission “propose and publish an analysis assessing the cumulative effect of the two proposals that allows commenters to consider the broader implications (and the Commission’s analysis of those implications) of prohibiting volume-based transaction pricing for certain orders.”).

more readily consume a trading venue's fee schedule and update participant systems.⁷¹⁶ Implicit in the requirement that fees/rebates be determinable at the time of execution is use of historical, rather than future, volume to benchmark any qualifying criteria for a particular fee/rebate and thus the fee/rebate would be calculatable or determinable before the time of execution. For a fee to be determinable at the time of execution, it must be ascertainable before or contemporaneously with the execution. Otherwise, the purpose of Rule 610(d) – to provide certainty and transparency regarding what fee/rebate will apply at the time of execution – would be undermined. No change or clarification of Rule 610(d) is necessary because implicit in the requirement that fees/rebates be determinable at the time of execution is the ability to calculate the fee/rebate prior to execution.

Finally, new Rule 610(d) enhances transparency regarding exchange fees and rebates but does not require a specific format for publication of the information. Exchange fees are required to be posted on exchange websites⁷¹⁷ and, as is true today, if market participants need a specific format, they can make such requests to the exchanges.

V. Final Rule - Transparency of Better Priced Orders

The Commission, among other things, adopted new definitions of round lot⁷¹⁸ and odd-lot information⁷¹⁹ under the MDI Rules to enhance the transparency for investors and other market participants of quotes and orders in NMS stocks that have better prices than what has

⁷¹⁶ FIA PTG Letter II at 4. See also Citadel Letter I at 25; Healthy Markets Letter I at 26.

⁷¹⁷ See rule 19b-4(m)(1). 17 CFR 240.19b-4(m)(1).

⁷¹⁸ The MDI Rules adopted the definition of round lot in rule 600(b)(82). This provision was subsequently renumbered to Rule 600(b)(93) by the Rule 605 Amendments. 17 CFR 242.600(b)(93); Rule 605 Amendments, supra note 10.

⁷¹⁹ The MDI Rules adopted the definition of odd-lot information in rule 600(b)(59). This provision was subsequently renumbered to Rule 600(b)(69) by the Rule 605 Amendments. 17 CFR 242.600(b)(69); Rule 605 Amendments, supra note 10.

been provided in SIP data.⁷²⁰ In the Proposing Release, the Commission proposed: (1) to accelerate the implementation of these two definitions adopted under the MDI Rules, (2) an amendment to the definition of “regulatory data” in Rule 600(b)(78)(iv),⁷²¹ (3) to require each exclusive SIP to represent quotation sizes in consolidated information in terms of the number of shares, rounded down to the nearest multiple of a round lot, and (4) to amend the definition of odd-lot information to include a best odd-lot order. As discussed in detail below, the Commission is: (1) adopting an accelerated implementation schedule for the round lot and odd-lot information definitions, with modifications to the proposed implementation schedule; (2) adopting the amendment to the definition of “regulatory data”, as proposed;⁷²² (3) requiring each exclusive SIP to represent quotation sizes in consolidated information in terms of the number of shares, rounded down to the nearest multiple of a round lot, as proposed; and (4) modifying the Commission’s approach in the Proposing Release by adopting amendments to the round lot definition that will require less frequent round lot adjustments—i.e., semiannually, rather than monthly—by defining a round lot “Evaluation Period” and by specifying an operative period.⁷²³ In addition, the Commission is adopting the best odd-lot order data element, as proposed.

A. Background

The MDI Rules expanded NMS information and established a decentralized consolidation model, pursuant to which competing consolidators will eventually replace the

⁷²⁰ See MDI Adopting Release, supra note 10.

⁷²¹ See supra note 320.

⁷²² The Commission is adopting this amendment to the definition of regulatory data in Rule 600(b)(89)(iv). See supra note 320.

⁷²³ The Commission is not changing the calculation used to assign round lots or the round lot tiers in the round lot definition adopted in the MDI Rules.

exclusive SIPs for the collection, consolidation, and dissemination of NMS information.⁷²⁴ The Commission adopted a phased transition plan for the MDI Rules,⁷²⁵ which has been delayed.⁷²⁶ Accordingly, NMS information is currently collected, consolidated and disseminated within the national market system by the exclusive SIPs as SIP data.⁷²⁷

Because the MDI Rules are not yet implemented, NMS stock quotation information that is included in SIP data is provided in round lots, as defined in exchange rules,⁷²⁸ and for most NMS stocks a round lot is defined as 100 shares.⁷²⁹ Under Rule 600(b)(93), as adopted by the MDI Rules,⁷³⁰ round lot sizes are assigned to each NMS stock based on its average closing price and those NMS stocks that have an average closing price in the prior month greater than \$250.00 will be assigned a round lot in a size that is less than 100 shares.

Moreover, because the MDI Rules are not yet implemented, information about orders in NMS stocks that have a size less than a round lot, i.e., odd-lot orders, is available on individual exchange proprietary data feeds, and market participants interested in quotation information for individual odd-lot orders must purchase these proprietary feeds.⁷³¹ SIP data includes odd-lot transaction information but does not include odd-lot quotation information, except to the extent that odd-lot orders are aggregated into round lots pursuant to exchange rules.⁷³²

⁷²⁴ See MDI Adopting Release, supra note 10.

⁷²⁵ See Proposing Release, supra note 11, at 80295 (describing the phased transition plan for the MDI Rules).

⁷²⁶ See supra notes 74-78 and accompanying text.

⁷²⁷ See supra notes 63-65 and accompanying text for a description of SIP data.

⁷²⁸ See supra note 66.

⁷²⁹ See supra note 67.

⁷³⁰ See supra note 718.

⁷³¹ See supra notes 67-68 and accompanying text.

⁷³² See MDI Adopting Release, supra note 10, at 18727.

The MDI Rules were designed to increase transparency into, among other things, the best priced quotations available in the market.⁷³³ Under the MDI Rules' phased transition plan, the round lot and odd-lot information definitions were scheduled to be implemented during later phases in order to avoid imposing costs on the exclusive SIPs, which will be retired upon full implementation of the MDI Rules.⁷³⁴ Due to the delays in the MDI Rules' implementation, as discussed in the Proposing Release,⁷³⁵ the Commission is adopting an accelerated implementation schedule, with some modifications from the proposal, so that market participants, including investors, will be provided with the enhanced transparency benefits earlier than anticipated in the MDI Rules.

B. Final Rule - Round Lots

The Commission is amending the implementation schedule for the round lot definition that was adopted in the MDI Rules. The round lot definition will be implemented on the first business day of November 2025. This adopted compliance date is modified from the proposal, which required compliance with the round lot definition 90 days from Federal Register publication of any Commission adoption of an earlier implementation of the round lot definition.⁷³⁶ The Commission has provided more time than what was proposed so that market participants can update and modify their systems.⁷³⁷ However, the adopted compliance date still

⁷³³ MDI Adopting Release, supra note 10, at 18601-02, 18617; see also 17 CFR 242.600(b)(93).

⁷³⁴ See MDI Adopting Release, supra note 10, at 18700-01; see also Proposing Release, supra note 11, at 80295, 80298-99.

⁷³⁵ See Proposing Release, supra note 11, at 80295.

⁷³⁶ See Proposing Release, supra note 11, at 80300-01.

⁷³⁷ See infra section VI.C.

accelerates the time by which the definition will be implemented as compared to the preexisting schedule adopted in the MDI Rules.⁷³⁸

In addition, the Commission is amending the round lot definition to include a new definition for an “Evaluation Period” and a provision specifying the operative dates for round lot assignments. These amendments will align the dates for assigning round lots to the dates for assigning minimum pricing increments under Rule 612.⁷³⁹

Finally, the Commission is also adopting, as proposed, the amendment to the “regulatory data” definition in Rule 600(b)(89)(iv).⁷⁴⁰

1. Round Lot Definition

Rule 600(b)(93), as adopted by the MDI Rules,⁷⁴¹ defines a round lot for NMS stocks that have an average closing price on the primary listing exchange during the prior calendar month of: (1) \$250.00 or less per share as 100 shares; (2) \$250.01 to \$1,000.00 per share as 40 shares; (3) \$1,000.01 to \$10,000.00 per share as 10 shares; and (4) \$10,000.01 or more per share as 1 share.⁷⁴² For any new NMS stock for which the prior calendar month’s average closing price is not available, a round lot is 100 shares. As a result of the MDI Rules’ round lot definition, each exchange’s BBO and the NBBO for an NMS stock could be based upon smaller, potentially

⁷³⁸ See Proposing Release, supra note 11, at 80295; see also supra notes 74-78 and accompanying text.

⁷³⁹ See supra section III.C.8.

⁷⁴⁰ See supra note 320.

⁷⁴¹ See supra note 718.

⁷⁴² 17 CFR 242.600(b)(93). The definition of regulatory data adopted in the MDI Rules also requires that a round lot indicator be included in NMS information so that market participants will know the size of a round lot for each NMS stock. The primary listing exchange must provide, among other things, an “indicator of the applicable round lot size” to competing consolidators and self-aggregators. 17 CFR 242.600(b)(89); MDI Adopting Release, supra note 10, at 18634. In addition, the MDI Rules require competing consolidators to represent quotation sizes for certain core data elements in terms of the number of shares, rounded down to the nearest multiple of a round lot. 17 CFR 242.600(b)(26)(iii); MDI Adopting Release, supra note 10, at 18615.